
Year-End Tax Summary and Schedule C Worksheet

Jack, here is the year-end summary for tax year 2025 covering the Bay Runner commercial and charter operations as a sole proprietorship, plus the household items we track each year. Numbers tie to your QuickBooks export and the catch and sales ledgers X01 and X10. Review the figures and we will finalize at our quarterly sit-down.

1. Business Income, Schedule C

Source	Gross	Notes
Commercial blue crab	\$116,000	Wye River and Annapolis Crab Pickers, dockside
Summer charter, gross	\$56,470	Before broker cut
Less Pete Andersen 15 pct	-\$8,470	Chesapeake Charter Connection
Net charter	\$48,000	Tracked in X05
Total business gross	\$164,000	Combined

2. Business Expenses, Schedule C

Category	Amount
Fuel, diesel	\$11,400
Bait	\$6,200
Crew payroll, three deckhands	\$28,600
Payroll taxes and processing	\$3,950
Marina slip	\$5,760
Boat and charter insurance	\$8,640
Engine loan interest	\$1,180
Repairs and maintenance	\$6,420
Pot and gear replacement	\$3,100
License and dues	\$560
Total expenses	\$75,810

Net business profit before household items is approximately \$88,190. Self-employment tax and the SEP-IRA contribution are computed below.

3. Self-Employment Tax and Retirement

Net business profit	\$88,190
Self-employment tax estimate	\$12,460
SEP-IRA contribution, 2025	\$12,000
Deductible half of SE tax	\$6,230
Bridget W-2 wages, school nurse	\$54,000

4. Household Tax Picture

Combining the business net with Bridget's school-nurse wages puts the household gross near \$218,000. After the SEP-IRA, the deductible half of self-employment tax, mortgage interest, and the standard items, the estimated federal position is summarized below. We will refine with the final 1098 and property tax statements.

Item	Amount
Household gross income	\$218,000
SEP-IRA deduction	-\$12,000
Half SE tax deduction	-\$6,230
Mortgage interest, estimate	-\$9,800
Estimated taxable income	\$189,970

5. Quarterly Estimates for 2027

Based on the 2025 result, plan the 2027 federal and Maryland estimated payments as follows. These fall outside the slow off-season cash window, so set the buffer aside from the strong fall harvest months. See savings tracker X12.

Quarter	Federal	Maryland	Due
Q4 2026	\$5,200	\$1,650	2027-01-15
Q1 2027	\$5,200	\$1,650	2027-04-15
Q2 2027	\$5,200	\$1,650	2027-06-15
Q3 2027	\$5,200	\$1,650	2027-09-15

6. Items to Bring to Our Meeting

- Form 1098 mortgage interest from Annapolis Maritime Bank.
- Final fuel and bait receipts not yet in QuickBooks.
- Crew payroll year-end totals from Annapolis Payroll Services.
- 529 contribution confirmations for the Maryland subtraction.
- Any West Marine and Marshwood Partners invoices over \$500.

Call the office to set the quarterly check-in. We will lock the return once the final documents are in.

Frank DiMaggio, CPA

This worksheet is a planning summary and not a filed return.